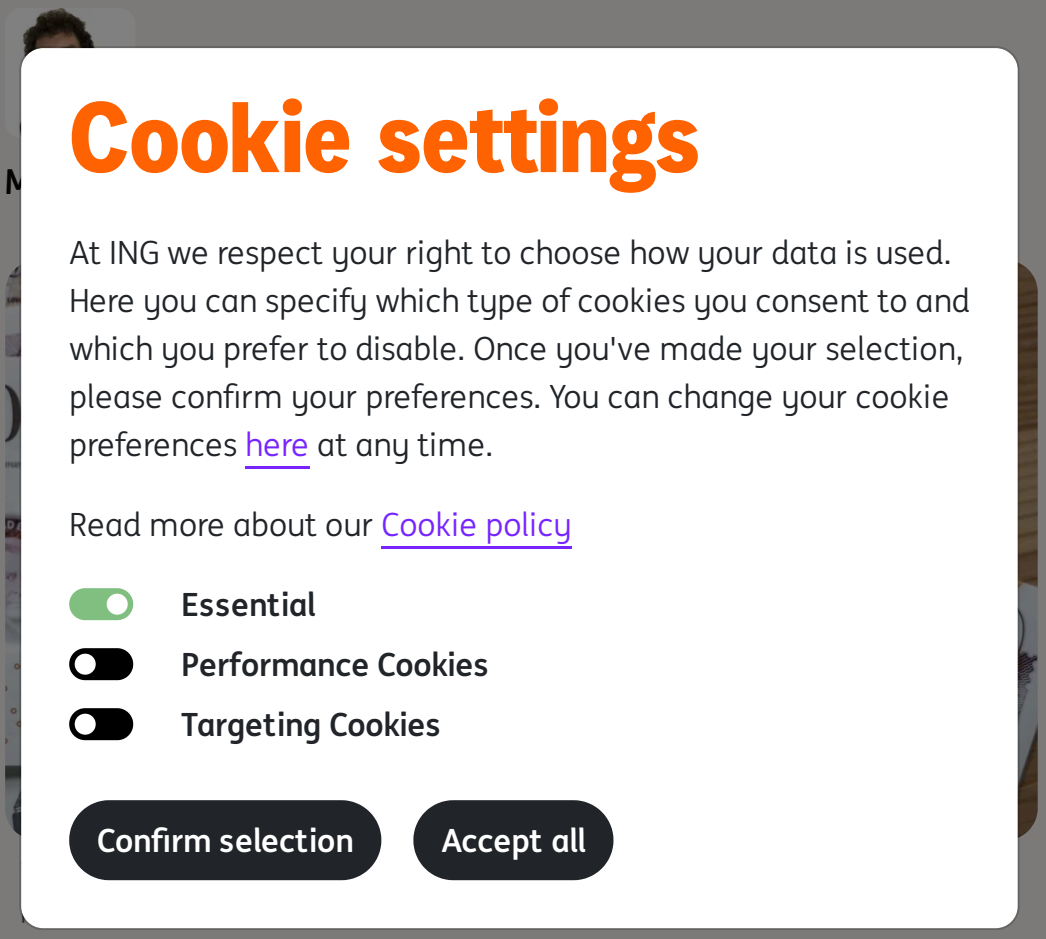
GBP rates seem to have drifted too high versus Bank of England expectations, which we attribute to a significant risk premium stemming from prior trading trauma. We therefore see rates lower across the curve, but only once inflation risks settle and US rates ease lower. Meanwhile, structural supply factors will keep the sterling curve steeper



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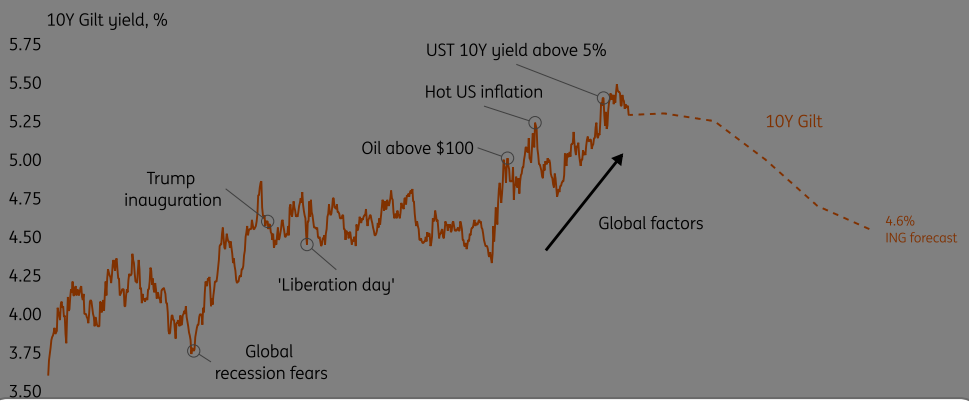
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We expect domestic factors to pull rates lower in 2027, but global factors will continue to push gilt yields around. In our baseline forecast, we see the 10yr gilt yield easing lower as ugly inflation fears abate. The Bank of England could start considering rate cuts instead of more hikes. Looking back at the many global drivers pushing GBP rates around in 2026, we do think that the path lower will be volatile.

Easing UK inflation should bring rates lower, but global factors add volatility



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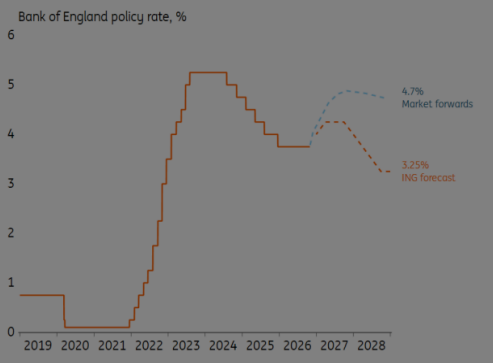
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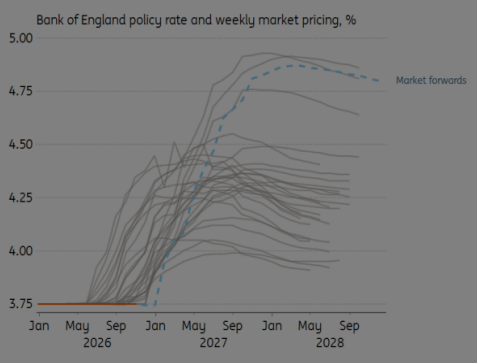
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Source: ING, Bank of England, Macrobond

The excessively hawkish reaction feels like a trauma from being too dovish over the past few years. When we compare market pricing to actual policy changes, we see that expectations have been almost consistently wrong since 2023. Past inflation was, however, uglier than expected, easing more slowly than hoped. As a consequence, the Bank of England has only been able to cut policy rates very slowly since the easing cycle started in 2023.

Investors have been burnt many times on taking dovish GBP rate positions

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their highs and inflation doesn't surprise to the upside. But the bigger dovish turn will likely come in the second half as inflation numbers provide greater confidence about returning to the 2% target.

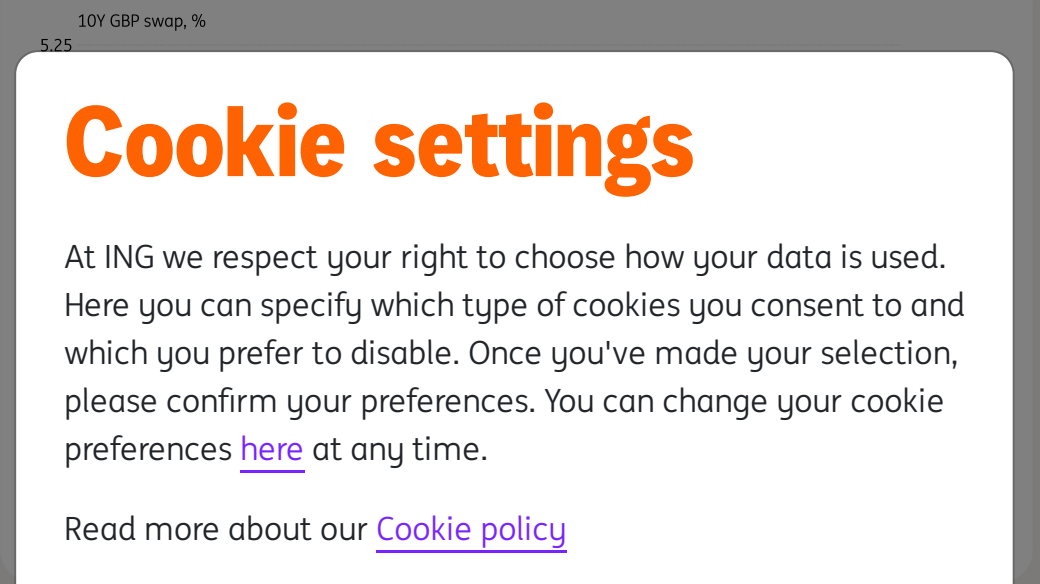
US rates add additional uncertainty to sterling rates

US dynamics cannot be ignored and should eventually also help sterling rates glide lower. The 10yr GBP swap rate can be modelled

almost perfectly by Bank of England expectations and the US swap curve. These factors together explain some 98% of rate moves.

Two US ingredients are important: the level of the 10yr rate and the 2s10s slope of the curve. Our baseline forecast sees materially lower 10yr US rates, helping the 10yr gilt move lower in 2027.

Policy expectations and US rates account for 98% of 10Y GBP swap moves



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upward pressure on global rates.

Changes in QT won't stem the upward pressure on rates due to supply

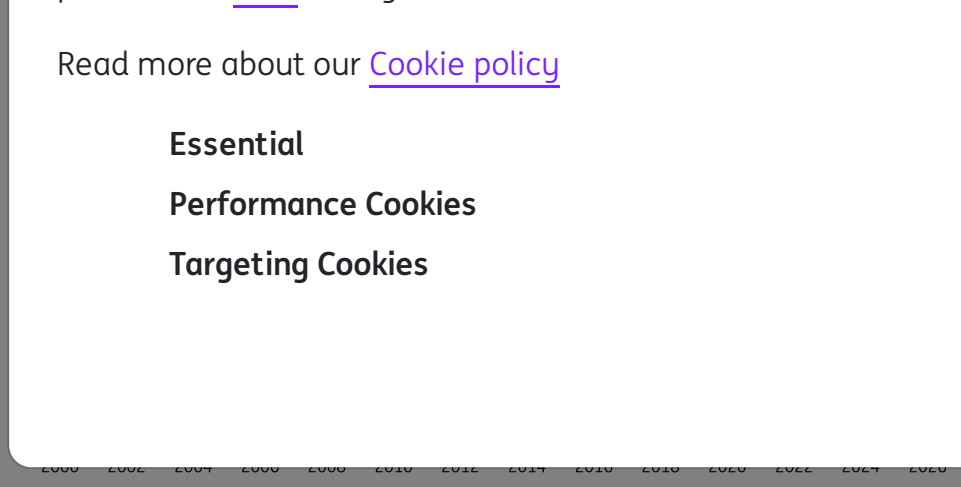
While we think the UK is in a better position than most peers when it comes to "bad" government deficit and debt dynamics, supply pressures will continue to exert upward pressure on gilt yields. Thus far, the Bank of England has more actively reduced its balance sheet, adding to the supply for the private sector to absorb. Earlier this year we estimated that quantitative tightening (QT) added

significant steepening pressure to sterling curves – more so than the Bank of England suggests.

The new approach to QT should ease the upward pressures on 30yr gilts, but the broader outlook remains the same. By keeping gilts on the balance sheet with maturities of 23 years or longer, markets no longer have to worry about absorbing that part of the curve. Having said that, the rise in 30yr yields is a global trend and not something on which the UK has a lot of influence.

Meanwhile, shorter maturities will still hit the market, albeit with a detour through the government Debt Management Office (DMO). T
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Source: ING, Macrobond

The increased gilt supply is currently absorbed by relatively price-sensitive buyers. This increases upward yield pressure and can come with volatility. Banks are only absorbing part of the increase in supply, while insurance and pension funds are playing a smaller and smaller role, which is especially punitive for longer maturities. Foreign investors and other financials (i.e. asset managers, hedge funds) are picking up the slack. But these types of investors are

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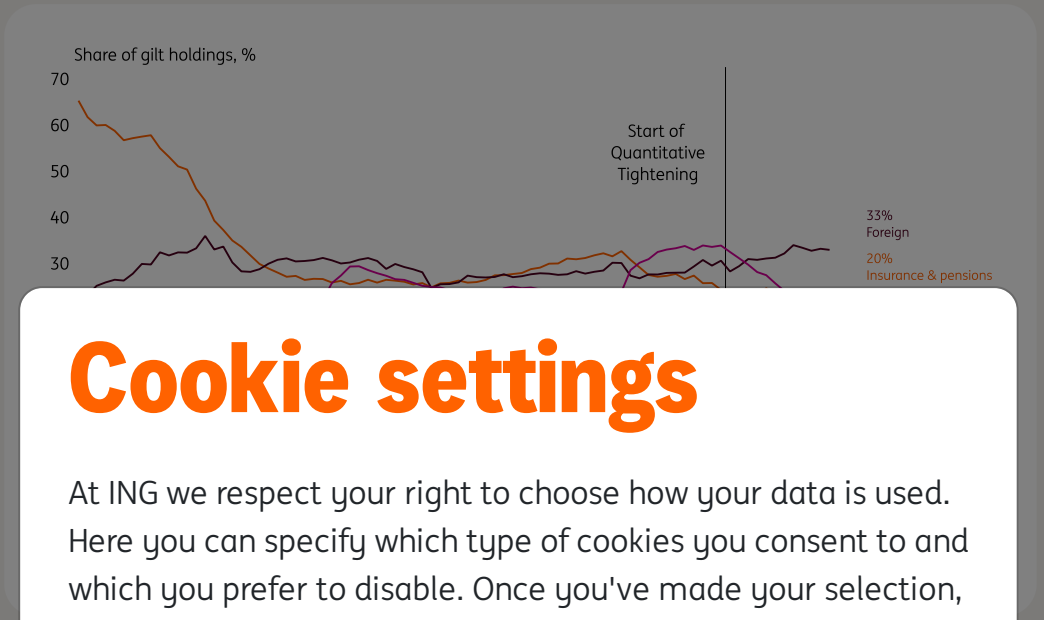
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more relative-value-focused and can be quick to sell if gilts start looking less attractive.

Gilts rely on price-sensitive buyers to pick up the increase in supply



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